Exercise: Activity-Based Costing

Ex. 1. The first stage of activity-based costing: the cost of activities

The manager of an Eagle Horizon Bank branch wants to investigate the efficiency of his branch's operations. He has therefore commissioned a study of routine transactions using activity-based costing.
Specifically, he would like to know the cost of opening a new account, the cost of managing withdrawals and deposits, and the cost of granting mortgages.
The branch employs 6 counter staff with an annual salary of €50,000 each, and 2 sales managers with an annual salary and bonus of €80,000 each. The branch manager's salary and bonus amount to €100,000 per year. The branch also incurs other overhead costs of €250,000 per year; however, the manager considers these costs cannot be correlated with routine banking activities and therefore cannot be allocated.
He interviews his staff and collects the following data on the distribution of their time in 2011 across the relevant activities:

	Opening new accounts	Managing withdrawals and deposits	Granting mortgages	Other activities
Counter staff	20%	70%	10%	0%
Sales managers	0%	0%	60%	40%
Branch manager	0%	0%	30%	70%

Based on the information provided, calculate the total cost of activities for the year 2011.

Ex. 2 The second stage of activity-based costing: calculating the ARs

This exercise is a continuation of the previous exercise and requires the use of the information provided and determined therein, plus the additional information listed below.
Knowing that during the year 2011 the following occurred:

- 120 new current accounts were opened,
- 420,000 withdrawal and deposit transactions were processed,
- 80 mortgages were granted,

calculate the AR for each activity.

Ex. 3 The second stage of activity-based costing: allocating activity costs to final cost objects

Global Mining produces specialist equipment used in the mining sector. The direct costs recorded for the last completed order are shown below:

Total direct costs	
RM	€940
DL	€1.700

For internal decision-making purposes, the company uses an activity-based costing system and has identified 4 indirect cost-generating activities, along with their respective ARs:

Activity	Activity driver	AC
Materials procurement	No. of supplier orders	€45/supplier order
Customer order management	No. of customer orders	€360/customer order
Product inspection	Inspection hours	€79/inspection hr
Product sales	No. of sales visits	€1,494/visit

*ARs are obtained by dividing total activity indirect costs by the total activity driver. Values refer to the previous
financial year.

The CEO would like information on the costs of the last completed order, relating to drill bits for hard minerals.

The order required:

Activity driver	
No. of supplier orders	5
Inspection hours	18
No. of sales visits	3

Determine the total cost of the order.